LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS PURCHASE FINANCE?

A Comprehensive Textbook & Reference Manual

Developed by www.loanbazaaronline.com

TABLE OF CONTENTS

Chapter	Title	Page No.
CHAPTER 1	Product Overview & Historical Context	3
CHAPTER 2	The Tripartite Model & Transaction Structure	4
CHAPTER 3	Underwriting Standards & Eligibility Criteria	6
CHAPTER 4	Security, Documentation & Verification	7
CHAPTER 5	Tenures, Merchant Fees & Commercial Mechanics	8
CHAPTER 6	Suitable Industries, Market Sizing & Business Profiles	9
CHAPTER 7	Key Advantages and Limitations of the Product	11
CHAPTER 8	Regulatory Compliance, DLG & Consumer Protection	12
CHAPTER 9	Detailed Real-World Case Study (No-Cost EMI in INR)	13
CHAPTER 10	Fintech Rookie Practice Examination	14

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 1: PRODUCT OVERVIEW & HISTORICAL CONTEXT

Purchase Finance, also widely known as Point-of-Sale (POS) Financing or Consumer Durable Lending, is a modern, transactional, and highly contextual credit product integrated directly into the buyer's checkout journey. This financial solution allows customers to acquire goods or services immediately and pay for them over a structured period through fixed instalments (usually Equated Monthly Instalments, or EMIs), rather than parting with the entire purchase price upfront. In the modern fintech landscape, purchase finance is a cornerstone of 'embedded lending,' where credit functions as a seamless, native option alongside traditional payment instruments like debit cards, credit cards, and UPI.

Historically, retail credit was characterized by deferred gratification models such as 'layaway' plans. Under a traditional layaway plan, a customer selected an item, and the retailer reserved it while the customer made fractional payments over several weeks or months. Crucially, the customer could only take possession of the goods after the final instalment was successfully settled. Layaway plans protected the merchant from default risk but severely constrained sales velocity due to the friction of deferred ownership.

The digital lending revolution completely inverted this paradigm. Powered by real-time underwriting systems, Application Programming Interfaces (APIs), and robust databases, POS financing offers instant gratification. The buyer gains immediate ownership of the asset, the merchant receives the full transaction value upfront from a third-party lender, and the customer gradually pays off the obligation over a predetermined tenure. This transformation bridges the gap between consumer aspiration and immediate affordability, structurally altering consumer behaviour and retail velocity across both online e-commerce platforms and brick-and-mortar stores.

To understand the fundamental nature of this product, we can contrast it with traditional revolving credit instruments like credit cards. While a credit card represents an open-ended, revolving credit line with compound interest structures, purchase finance represents a closed-end instalment loan with a fixed tenure, clear monthly repayments, and no ongoing borrowing capacity beyond the specific transaction. This transparency reduces uncertainty for the customer and minimises the risk of entering a compound interest debt spiral, making it highly attractive to younger, budget-conscious consumers who are increasingly credit-averse.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 2: THE TRIPARTITE MODEL & TRANSACTION STRUCTURE

The operational architecture of purchase finance relies on a robust Tripartite Model involving three distinct entities who interact in a tightly coordinated, real-time transaction loop. These participants are:

- The Customer (Borrower): The buyer who selects the goods/services, undergoes a real-time eligibility check at checkout, takes immediate possession of the item, and agrees to repay the loan in structured monthly instalments.
- The Merchant (Seller): The retailer or service provider who offers the integrated financing option, sells the product, and receives the full purchase price upfront from the lender (minus a transaction fee or Merchant Discount Rate).
- The Lender (Financier): A regulated financial institution (typically a Non-Banking Financial Company, or NBFC, or a Commercial Bank) that performs real-time credit underwriting, funds the transaction, pays the merchant, collects instalments, and bears the credit risk of default.

The table below outlines the Standard 4-Step Transaction Flow, highlighting both customer actions and the backend system activities:

Stage	Participant Action	Behind-the-Scenes System Activity
1. Selection	Customer selects "Financing / EMI" at checkout (online or at a physical store POS counter).	The Merchant's checkout system triggers an API call to the partner Lender's server with order value and basic customer details.
2. Underwriting	Customer inputs minimal identifiers (Name, DOB, Mobile) and receives a real-time decision.	Lender runs an automated, soft credit check, evaluates proprietary risk models, and returns credit terms in seconds.
3. Payout	Customer accepts the terms (interest, EMI, tenure) via a one-time OTP verification.	Lender approves the loan, notifies the merchant, and disburses the purchase value to the merchant (minus MDR) within a standard settlement period.
4. Repayment	Customer receives the product instantly and repays the lender over a structured monthly timeline.	Lender collects EMIs via automated bank mandates (e.g., e-NACH) or digital payment channels until the loan is fully amortised.

The Mechanics of Zero-EMI / No-Cost EMI: A pivotal innovation in Indian purchase finance is the 'Zero-EMI' or 'No-Cost EMI' model, pioneered by retail financial giants like Bajaj Finance. In a standard interest-bearing loan, the customer pays the principal plus interest. Under the 'No-Cost EMI' model, the customer only pays the actual retail price of the product divided by the

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

tenure (e.g., ₹24,000 paid over 6 months at ₹4,000 per month). To make this interest-free for the customer, the merchant or manufacturer agrees to give an upfront discount to the lender equivalent to the interest cost. This upfront discount acts as a subvention fee, ensuring that the lender still receives their targeted interest yield while the customer experiences a true 0% interest offer.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 3: UNDERWRITING STANDARDS & ELIGIBILITY CRITERIA

To enable instant loan approvals at the point of sale without adding friction to the shopping experience, lenders have transitioned from manual, paperwork-heavy credit underwriting to automated, algorithmic underwriting systems. These systems assess creditworthiness and transaction risk within seconds using a variety of direct and alternative data sources.

• Common Customer Eligibility Criteria:

- Age Profile: Typically restricted to individuals between 21 and 60/65 years of age.
- Income Thresholds: Lenders look for a steady stream of income. For salaried individuals, this is verified through salary accounts or bank statements. Self-employed individuals are evaluated on business receipts or income tax returns. Minimum income thresholds vary but usually start at ₹15,000 to ₹20,000 per month for basic consumer finance.
- Bureau Credit Score: A solid bureau score (such as CIBIL, CRIF, or Experian) is highly preferred for long-term instalment loans or high-ticket purchases (e.g., >₹50,000). A history of timely repayments, low credit utilization, and clean repayment records significantly boosts approval odds.
- Debt-to-Income (DTI) Ratio: Underwriting engines calculate the borrower's existing debt obligations relative to their documented income. Generally, a DTI of less than 40-50% is required to ensure that the new monthly EMI obligation is manageable.

The New-to-Credit (NTC) Segment & Alternative Data Underwriting: A significant portion of the Indian population lacks a formal credit history at the time of credit originations. These individuals are classified as New-to-Credit (NTC) customers. According to credit landscape reports (such as CRIF High Mark's Q3 FY26 snapshot), the NTC share in Consumer Durable Loans stands at approximately 16.3% of originations value. To underwrite this critical segment safely, lenders use alternative data points. Rather than relying on traditional bureau scores, proprietary machine learning models evaluate the borrower's digital footprint, utility bill payment histories, smartphone transaction SMS data (such as bank balance alerts), e-commerce purchase history, and device metadata to construct a proxy creditworthiness profile.

Underwriting Guardrail (RBI Directions): Algorithmic and automated underwriting models cannot operate as a complete black box. Regulated lenders are mandated to maintain board-approved policies defining underwriting criteria. No automated model is allowed to automatically increase a borrower's credit limit without an explicit request, evaluation, and signed approval on record.

CHAPTER 4: SECURITY, DOCUMENTATION & VERIFICATION

To support instantaneous checkout speeds, physical paperwork has been almost entirely replaced by a digitised, consent-driven documentation and verification framework. This

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

framework ensures robust risk management, strict fraud prevention, and absolute identity verification in a fraction of the time required for a traditional loan.

• Essential Documentation & Security Requirements:

- Identity and Address Verification (e-KYC): Done instantly using Aadhaar-based e-KYC or offline XML verification, combined with the customer's Permanent Account Number (PAN) for tax and bureau reporting. This is a non-negotiable regulatory prerequisite.
- Bank Account & Repayment Mandate (e-NACH): To automate instalment collection, customers must set up an electronic mandate using National Automated Clearing House (e-NACH) or Aadhaar-based e-mandates. This ensures that the lender can automatically debit the monthly EMI from the customer's bank account on due dates.
- Digitally Signed Contracts: Upon loan approval, the lender must automatically generate digitally signed versions of the sanction letter, loan agreement, terms & conditions, and the critical Key Fact Statement (KFS) which flow directly to the borrower's verified email and mobile number.

Strict Data Privacy & Technology Standards (RBI Guidelines): As purchase finance has moved to digital lending apps (DLAs) and mobile interfaces, data privacy has become a major concern. To mitigate risks of data leaks, mis-selling, and unethical harassment, the Reserve Bank of India (RBI) implemented strict data standards. DLAs operated by lenders or their partner Lending Service Providers (LSPs) are explicitly prohibited from accessing sensitive mobile phone resources. They are barred from scanning the customer's contact list, accessing file and media directories, reading call logs, or accessing telephony functions. Lenders are only permitted a one-time access to mobile resources like the camera, microphone, and location solely for onboarding and Know-Your-Customer (KYC) requirements, and only after obtaining the customer's explicit, audit-trailed consent.

Furthermore, all personal and financial data must be stored securely on servers located entirely within India. If any data is processed outside the country, it must be completely wiped from foreign servers and brought back to Indian servers within 24 hours of processing, ensuring a watertight digital fortress around consumer data privacy.

CHAPTER 5: TENURES, MERCHANT FEES & COMMERCIAL MECHANICS

The purchase finance product suite is commercialised through distinct models tailored to purchase value, consumer risk profiles, and transaction velocity. Understanding the commercial

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

mechanics is essential for fintech professionals to evaluate profitability, customer retention, and unit economics.

Segmentation of POS Financing Models:

Model	Ticket Size (INR)	Typical Tenure	Interest / APR Structure	Best For
Buy Now, Pay Later (BNPL)	₹500 - ₹10,000	15 - 90 Days	0% (usually pay-in-4 or single monthly bill)	Fashion, Groceries, Low-ticket retail
Consumer Durable Loans	₹10,000 - ₹1,50,000	3 - 24 Months	0% (Subvention) or 12% - 18% APR	Smartphones, Laptops, Home Appliances
Long-Term Instalment Loans	₹1,50,000 - ₹5,00,000	6 - 60 Months	10% - 24% APR (interest-bearing)	Furniture, Two-wheelers, Medical, Travel
Lease-to-Own Options	₹5,000 - ₹50,000	1 - 12 Months	Built into lease rentals (Higher total cost)	Underbanked, thin-file credit profiles

Merchant Discount Rate (MDR) and Subvention Fees: When a merchant facilitates a purchase through POS financing, they pay the lender a fee known as the Merchant Discount Rate or subvention fee. This fee typically ranges from 1.5% to 6% of the transaction value. While this reduces the merchant's immediate net margin on the sale, it is widely accepted because it drastically increases overall transaction volumes, lifts the Average Order Value (AOV) by encouraging customers to upgrade to premium models, and shifts the entire default and collection risk from the merchant to the third-party lender.

Unit Economics of a POS Loan (Lender's Perspective): The lender's profitability relies on balancing three main components: interest/subvention revenue, processing fees, and collection/credit losses. On a ₹30,000 consumer durable loan, the lender may earn a 3% subvention fee (₹900) and a ₹150 processing fee upfront. Over a 6-month tenure, they earn interest while managing a marginal default rate (typically maintaining portfolio credit loss or PAR 91-180 under 1.5% due to strict automated filters), ensuring high asset turnaround and strong return on assets (ROA).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 6: SUITABLE INDUSTRIES, MARKET SIZING & BUSINESS PROFILES

Purchase finance has witnessed explosive, structural growth in India, establishing itself as a dominant retail lending product. According to credit bureau data as of December 2025 (reported in CRIF High Mark's Q3 FY26 report), the total Consumer Durable portfolio outstanding grew 14.3% YoY to ₹96.3K Crore, representing a massive base of 10.1 Crore active loan accounts. This growth has been driven by Festive season demand, rising disposable incomes, and favorable GST adjustments.

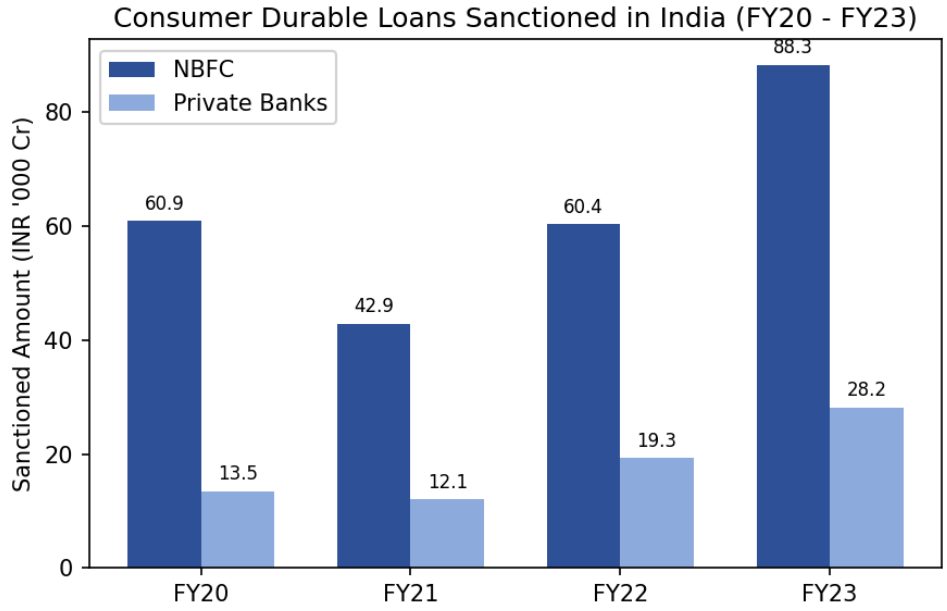


Figure 6.1: Compounded Growth of Consumer Durable Loans Sanctioned in India (FY20-FY23)

Market Dominance and Suitable Business Profiles: In the Indian retail market, Non-Banking Financial Companies (NBFCs) maintain an absolute, near-monopolistic lead in consumer durable financing. As shown in Figure 6.2, NBFCs command 82.8% of originations value and 86.6% of originations volume in Q3 FY26. Their dominance is driven by a deep distribution network spanning over 2.32 lakh touchpoints (from large electronic outlets to small local stores), rapid paperless checkout approvals, and strong fintech partnerships. In contrast, Private Banks hold a declining 14.4% of value and 12.2% of volume, signaling a massive shift in the consumer lending landscape. High-growth business segments such as electronics, home appliances, smartphones, premium automotive (two-wheelers), travel, and edtech are the most suitable industries for purchase finance integration.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

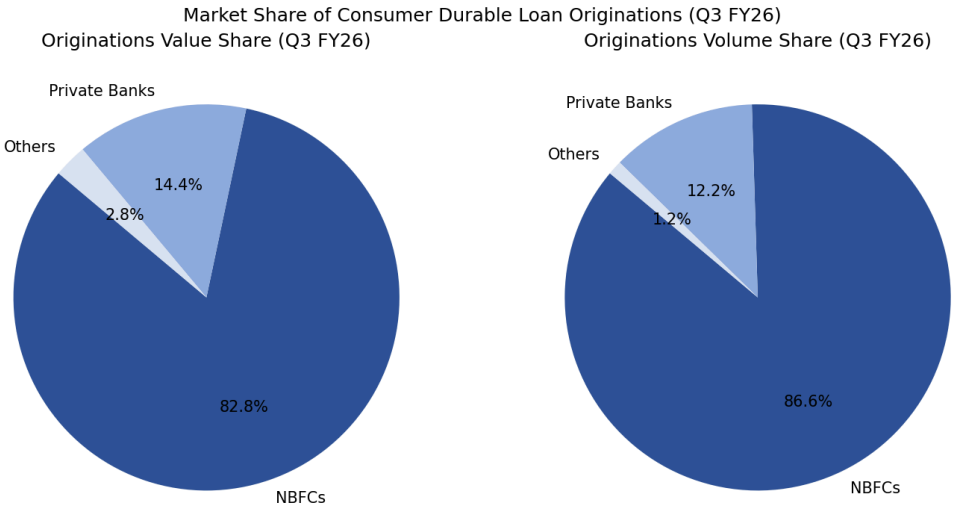


Figure 6.2: Market Dominance of NBFCs in Consumer Durable Loans (Q3 FY26)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 7: KEY ADVANTAGES AND LIMITATIONS OF THE PRODUCT

To fully master the strategic utility of purchase finance, rookies must understand the balanced trade-offs, advantages, and limitations of this credit product from both the consumer and merchant perspective.

• Strategic Advantages:

- For Customers: Financial Accessibility & Structured Budgeting. Purchase finance enables customers to acquire critical, aspirational goods (such as energy-efficient appliances or smartphones) immediately without depleting their cash reserves. Models like No-Cost EMI remove interest costs entirely, making budgeting predictable through fixed monthly repayments with zero compound interest risk.
- For Merchants: Massive Sales Uplift & Zero Credit Risk. Integrating POS financing significantly lowers the consumer's psychological purchase threshold. By displaying payments as "₹3,000 per month" instead of a ₹36,000 upfront cost, merchants mitigate sticker shock, drive a 30% to 50% increase in Average Order Value (AOV), and drastically reduce cart abandonment rates. Crucially, the merchant bears zero credit or default risk; the partner lender pays the merchant upfront and assumes all liability for missed collections.

• Product Limitations & Risks:

- For Customers: Impulse Over-Leveraging & Hidden Cost Traps. The frictionless nature of instant credit checks can encourage consumers to take on multiple overlapping EMI obligations, straining their monthly cash flows. Furthermore, certain promotional models, such as deferred interest plans, contain significant financial traps: if the consumer fails to settle the full balance within the promotional period, interest is charged retroactively on the entire original purchase amount from the day of purchase.
- For Merchants: MDR Fee Burden & Platform Compatibility. Merchants must absorb the Merchant Discount Rate (MDR) or subvention fee, which eats into their gross margins. Additionally, merchants must ensure seamless integration across online APIs and in-store physical POS terminals, requiring robust technical compliance and operational reconciliation overhead.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 8: REGULATORY COMPLIANCE, DLG & CONSUMER PROTECTION

To ensure financial system stability and protect consumers from aggressive or predatory practices, the Indian lending landscape is governed by a robust, multi-layered regulatory framework overseen by the Reserve Bank of India (RBI) and the Ministry of Consumer Affairs.

1. The Consumer Protection Act, 2019:

Under this modern act, borrowers are legally defined as "Consumers" of financial services. This grants them the right to seek redressal for any "Deficiency in Service" or "Unfair Trade Practices" through the Central Consumer Protection Authority (CCPA) or District Consumer Commissions, which can penalise lenders for coercive tactics or misleading advertisements.

2. Key Fact Statement (KFS) & Annual Percentage Rate (APR):

Lenders are mandated to provide a standardised, transparent KFS to every borrower before loan execution. The KFS must clearly disclose the Annual Percentage Rate (APR)—representing the true all-inclusive cost of the loan (interest, processing fees, insurance, etc.) expressed as an annual percentage—to ensure that zero-interest promotions are not camouflaged with hidden charges.

3. Direct Disbursal & Repayment Rules (RBI 2025 Directions):

To prevent third-party platforms from holding public funds, the RBI strictly mandates that all loan disbursements must flow directly from the lender's bank account to the borrower's bank account (or directly to the merchant/end-beneficiary's bank account for specific end-use transactions). Lenders must ensure that no third-party intermediary or Lending Service Provider (LSP) controls the flow of funds or routes them through any pass-through or pool accounts.

4. Default Loss Guarantee (DLG) Cap at 5%:

DLG is a contractual risk-sharing arrangement where an LSP guarantees to compensate the lender for default losses up to a certain percentage of the loan portfolio. Under the RBI Digital Lending Directions, DLG is strictly capped at 5% of the outstanding DLG portfolio to ensure that fintech partners do not act as unregulated synthetic lenders without sufficient capital backup.

5. Anti-Harassment & Collection Standards:

The RBI Fair Practice Code holds lenders "vicariously liable" for third-party collection agents. Agents are strictly prohibited from calling or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM. Any form of verbal abuse, mental intimidation, or third-party privacy breaches (e.g., calling friends or employers to shame the borrower) is a severe regulatory violation that must be reported to the bank Nodal Officer or the RBI Banking Ombudsman.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 9: DETAILED REAL-WORLD CASE STUDY (NO-COST EMI IN INR)

To bridge the gap between financial theory and real-world commercial operations, we analyze a detailed case study of a consumer durable transaction using a No-Cost EMI (Subvention) model in Indian Rupees (INR).

• The Scenario:

Ananya Sharma, a salaried software engineer in Bangalore, wishes to purchase a premium 4K Smart TV. She visits a partner electronics retailer. The retail price of the television is ₹60,000. Ananya does not want to swipe her credit card or exhaust her cash reserves, so she opts for a 6-Month No-Cost EMI option offered by a partner Non-Banking Financial Company (NBFC) at checkout.

• Underlying Commercial Parameters:

- Lender's Targeted Yield (Interest Rate): The NBFC requires a 15% per annum interest rate (reducing balance) on consumer durable loans of this profile.
- Tenure: 6 Months.
- Lender Upfront Processing Fee: ₹150 (charged directly by the NBFC to the customer as part of the APR).
- Customer EMI: Exactly ₹10,000 per month (₹60,000 / 6 months), fulfilling the "No-Cost" customer proposition.

• The Financial Math & Transaction Flow:

To make the transaction interest-free for Ananya while satisfying the NBFC's targeted yield, the merchant must provide an upfront discount equivalent to the interest component of a 6-month loan at 15% reducing interest. Using standard reducing-balance loan calculations, a ₹60,000 loan at 15% reducing interest over 6 months with monthly payments of ₹10,000 has a calculated interest component of ₹2,580.

Therefore, the transaction is structured as follows:

- 1. Upfront Subvention Discount: The merchant applies an upfront discount of ₹2,580 on the TV's price. The discounted billing value (the actual loan principal) is recorded as ₹57,420.
- 2. Loan Sanction & Payout: The NBFC sanctions a loan of ₹57,420. They pay the merchant the loan principal of ₹57,420 (minus any additional merchant discount rate fees, if applicable).
- 3. Customer Repayment Loop: Ananya's bank account is auto-debited ₹10,000 per month for 6 months. In the NBFC's books, each monthly payment of ₹10,000 is split into principal repayment and interest income (amortised over 6 months at 15% reducing rate), totaling ₹57,420 in principal and ₹2,580 in interest.
- 4. Complete Amortisation: At the end of month 6, the NBFC has recovered exactly ₹60,000, achieving its targeted 15% reducing-balance yield. Ananya has paid exactly ₹60,000 (plus the ₹150 processing fee), enjoying interest-free structured affordability. The merchant has secured a premium high-ticket sale that may have otherwise been abandoned due to sticker shock.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

CHAPTER 10: FINTECH ROOKIE PRACTICE EXAMINATION

This chapter contains a rigorous, comprehensive set of multiple-choice and analytical test questions designed to evaluate a finance rookie's understanding of purchase finance structures, unit economics, regulatory compliance, and commercial mechanics. Detailed answers and rationales are provided for each question.

Question 1 (Multiple Choice):
Under the "No-Cost EMI" purchase finance model, how is the lender's interest yield compensated if the customer pays zero interest?

A) The customer pays a lump-sum compound interest charge at the end of the loan tenure.
B) The merchant/manufacturer provides an upfront discount (subvention fee) equivalent to the interest cost, which is absorbed from their sales margin.
C) The government provides a direct subsidy to fintech lenders to promote digital retail spending.
D) The lender charges exorbitant processing fees that exceed the total interest value of the transaction.

Answer & Rationale:
Correct Option: B. In the No-Cost EMI model, the customer pays the standard retail price split equally across the tenure. To satisfy the lender's interest yield, the merchant or manufacturer absorbs the interest cost by offering an upfront discount (subvention) on the invoice price. The discounted value becomes the loan principal, and the customer's payments of the full retail price cover both the principal and the lender's required interest yield.

Question 2 (Multiple Choice):
According to the Reserve Bank of India (RBI) Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a Regulated Entity (RE) and a Lending Service Provider (LSP)?

A) 1% of the outstanding loan portfolio.
B) 5% of the outstanding loan portfolio.
C) 10% of the outstanding loan portfolio.
D) There is no cap, provided the LSP has a minimum net worth of ₹50 Crore.

Answer & Rationale:
Correct Option: B. The RBI Digital Lending Directions strictly cap Default Loss Guarantee (DLG) arrangements at 5% of the outstanding DLG portfolio (or DLG set). This regulatory cap prevents unregulated LSPs from taking on excessive credit risk, which would undermine the safety of the banking system and turn LSPs into synthetic lenders without regulatory oversight.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 3 (Multiple Choice):
Under the RBI guidelines on collection and debt recovery, during what hours are recovery agents legally permitted to contact or visit a borrower?

A) 24 hours a day, as long as the borrower is in active default.
B) Between 9:00 AM and 5:00 PM on working days only.
C) Between 8:00 AM and 7:00 PM on any day.
D) Between 6:00 AM and 10:00 PM to accommodate retail work schedules.

Answer & Rationale:
Correct Option: C. To protect consumers from harassment and mental distress, RBI Master Directions explicitly restrict recovery agents from contacting or visiting borrowers outside the designated hours of 8:00 AM to 7:00 PM.

Question 4 (Analytical Case Question):
A consumer durable loan of ₹30,000 is sanctioned on a deferred interest plan for a promotional period of 6 months. The borrower pays ₹5,000 per month for the first 5 months but misses the final payment, settling it in month 7. If the standard interest rate is 18% per annum, how is the interest calculated?

Answer & Rationale:
In a deferred interest plan, interest is waived only if the balance is paid in full within the promotional period. Because the borrower missed the final deadline, the lender is contractually entitled to charge interest retroactively on the entire original purchase value (₹30,000) from the day of purchase (month 1), rather than just on the remaining ₹5,000 balance. This highlights a key customer limitation and risk associated with promotional retail finance.

Question 5 (Multiple Choice):
Which of the following is NOT a regulatory requirement under the RBI's Digital Lending Directions?

A) Digital Lending Apps (DLAs) are prohibited from accessing the customer's mobile contact list, call logs, and file directories.
B) Loan disbursements and repayments must flow directly between the bank accounts of the borrower and the lender, with no pass-through accounts allowed.
C) Lenders must provide a Key Fact Statement (KFS) including the Annual Percentage Rate (APR).
D) All digital lending transactions must carry a minimum of 20% Default Loss Guarantee (DLG) from a fintech partner.

Answer & Rationale:
Correct Option: D. DLG is an optional risk-sharing mechanism and is not mandatory; where utilized, it is capped at a maximum of 5%, making option D incorrect and thus the correct answer to the question. Options A, B, and C are strict RBI mandates under the guidelines.

Question 6 (Descriptive Scenario):
An online apparel merchant integrated a short-term "Pay in 4" BNPL option at checkout. Over

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

the next quarter, they noted a 40% increase in Average Order Value (AOV) but observed their net margins dropped by 2.5% on those transactions. Analyze this commercial trade-off.

Answer & Rationale:
This scenario represents the classic merchant trade-off of purchase finance. The 40% increase in AOV occurs because breaking costs into manageable weekly/monthly instalments reduces the consumer's psychological "sticker shock," encouraging them to buy higher-end products or increase cart size. The 2.5% drop in margin represents the Merchant Discount Rate (MDR) or transaction fee charged by the BNPL provider. The merchant absorbs this fee as the cost of customer acquisition, which is typically offset by the massive expansion in sales volume.

Question 7 (Multiple Choice):
What segment of borrowers does purchase finance predominantly acquire in the Indian market, serving as a critical entry point to formal credit?

A) Ultra-High-Net-Worth Individuals (UHNWIs) seeking luxury real estate assets.
B) Corporate entities seeking multi-crore working capital finance.
C) New-to-Credit (NTC) retail borrowers who have limited or no previous formal credit history.
D) Public sector undertakings financing infrastructure projects.

Answer & Rationale:
Correct Option: C. Small-ticket consumer durable loans are the largest acquisition engine for New-to-Credit (NTC) borrowers in India (~16.3% of CD loans value are NTC originations), establishing their bureau profiles and bringing them into the formal banking system.

Question 8 (Multiple Choice):
A digital lending application (DLA) is found scanning a user's smartphone contact list and media files for credit risk assessment. Which of the following describes this action's status under the RBI guidelines?

A) It is permitted if the user gave permission via a checkbox during app installation.
B) It is strictly prohibited under the RBI Digital Lending Directions, which ban DLAs from accessing contact lists, directories, and call logs.
C) It is encouraged because it improves underwriting accuracy for NTC segments.
D) It is permitted only if the loan size exceeds ₹1,00,000.

Answer & Rationale:
Correct Option: B. The RBI Digital Lending Directions strictly prohibit DLAs/LSPs from accessing sensitive mobile phone resources like contact lists, file/media directories, call logs, and telephony resources. Lenders are only permitted one-time access to the camera, microphone, or location solely for KYC onboarding, with explicit consent.

Question 9 (Multiple Choice):
Under the RBI guidelines, where must personal and financial data collected by Digital Lending Apps be stored, and what is the rule regarding external processing?

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

A) Data can be stored on any global cloud server, provided it is encrypted.
B) All personal and financial data must be stored on servers located entirely within India; if processed outside India, it must be completely wiped from external servers and brought back to Indian servers within 24 hours.
C) Data must be stored on physical hard drives in the lender's local branch.
D) There are no storage location requirements as long as the lender holds a valid license.

Answer & Rationale:
Correct Option: B. To safeguard data sovereignty and consumer privacy, RBI guidelines require all lending data to be stored on servers located in India. External processing is allowed, but the data must be deleted from foreign servers and returned to India within 24 hours of processing.

Question 10 (Analytical Scenario):
A fintech Lending Service Provider (LSP) wants to offer a 10% Default Loss Guarantee (DLG) to an NBFC to cover potential credit defaults on a joint retail loan portfolio. Analyze the feasibility of this arrangement.

Answer & Rationale:
Under the RBI Digital Lending Directions, any DLG or risk-sharing arrangement between an LSP and a Regulated Entity (like an NBFC) is strictly capped at a maximum of 5% of the outstanding portfolio. A 10% DLG proposal is legally invalid and violates RBI directions. This cap ensures that fintech LSPs do not act as "synthetic lenders" carrying credit risk without holding sufficient regulatory capital or an NBFC/banking license.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.